system thinking. But it involves a new and daunting level of intrusive intervention, which goes well beyond the main work of public policy.

Consider a two-way street where people face no restrictions. This will frequently yield traffic jams. When one person drives on one side of the road, this hampers incoming traffic on that side of the road. The adverse impact from one person to another works through channels other than market transactions and voluntary agreements. It is an externality.

What is required in addressing the externality is a negotiation between many people, about who will use what parts of the road when, and a tidy solution is surely feasible. But it is difficult for all users of the road to find each other and negotiate such an agreement.

It is important to see that there is no complex political economy in this negotiation. Nobody particularly gains or loses from rules of coordination; all we have is a pure Coasean transaction cost of putting people together and negotiating.

A ‘Keep left’ rule, imposed by the state and backed by state coercion, nicely solves the problem of coordination by opposing traffic. It is a creative leap, a piece of system thinking, to envision this solution to the coordination problem.

Does this smack of central planning? When a government imposes a ‘Keep left’ rule, we can think of this as solving this problem of negotiation. The citizenry has chosen representatives (legislators) who would undertake the negotiation on their behalf, and the outcome of this negotiation is ‘Keep left’.

Coercive unbundling

Economies of scope are about utilizing a customer relationship to sell an adjacent product, and about the reduced cost of producing an adjacent product. When governments use coercive power to *prevent* a firm from doing adjacent things, they are generally in the wrong.